

TOP ACCELERATORS WITH DEDICATED VC FUNDS

- ① Y Combinator ② Techstars ③ 500 Global ④ SOSV Investments ⑤ Antler
- ⑥ Venture Catalysts ⑦ India Accelerator ⑧ GSF India ⑨ Upekkha ⑩ GHV Accelerator

SOURCE BT RESEARCH

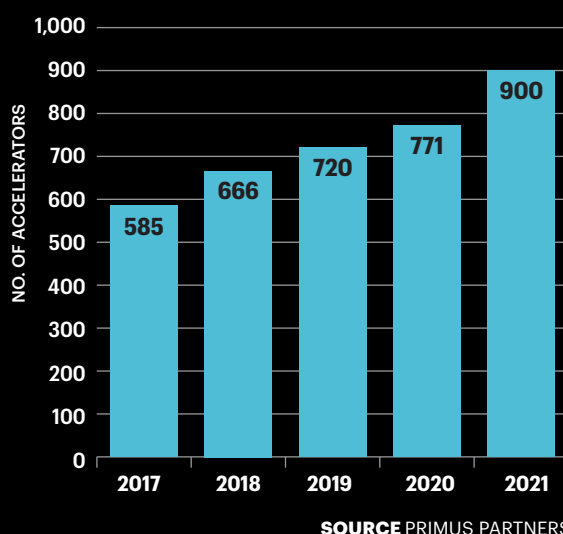
NOTABLE START-UPS THAT WERE SUPPORTED BY ACCELERATORS IN THEIR EARLY STAGES

Start-up*	Name of the accelerator
Razorpay	CIEE-IIM
OYO	Venture Nursery
Meesho	Y Combinator
Udaan	Microsoft for Startups
Slice	Better Capital
Vedantu	9 Unicorns
Practo	The Morpheus
Niramai	Axilor Ventures

*START-UPS ARE ARRANGED AS PER THEIR VALUATIONS
SOURCE PRIMUS PARTNERS

CROWDING IN

The number of accelerator programmes operating in India has grown steadily over the years



bility of success, a majority of which may not reach a stage where they could give meaningful returns.

Meanwhile, start-ups today have a plethora of avenues to find early-stage capital and build a mentor network. “Good start-ups do not need to go to an accelerator and give up equity. They can still get seed funding on their own. Besides, the primary source of capital for 80-90 per cent of accelerators comes from programmes run by government institutions such as DST, DPIIT, MeitY, and iDEX. That capital is not necessarily aligned with a return,” says Shyam Menon, Chief Growth Officer at IIM Ahmedabad’s accelerator, CIEE.CO.

Which brings us to the fact that

accelerators are now shifting to a pure-play VC model that invests in cohorts. Accelerators have realised that unless commercial capital with management fee and return expectations is involved, their current model cannot sustain.

Y Combinator (YC), the largest start-up accelerator in the world, now invests \$500,000 in each start-up in its cohorts. Its business model is to invest in all the start-ups in its programme. YC’s programmes funded 750 companies in 2021. Today, 150 of its portfolio firms are valued at \$150 million or more, and 60 are valued at \$1 billion or more. Its growth-stage fund, YC Continuity, invests in its most successful companies.

Rajesh Sawhney, Founder and CEO of GSF India—that began as an accelerator in 2012 and added early-stage investments later—says YC has transformed the game into one of scale. “Our business has changed. Either you become extremely niche, or create scale. Our winter batch will have 200 founders. Our goal for 2023 is to have 500 founders coming out of our academy and our Demo Day will have 2,000+ investors,” he says. GSF—boasting of a 10x multiple on invested capital so far—aims to invest in 20-25 start-ups in a year.

Techstars, a Colorado-based accelerator running several VC funds, is reportedly raising a \$300-million fund for early-stage invest-